

AS level economics

Chp# Demand and Supply

Topic:- Factors affecting demand

alpha

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Topic #2

Factors affecting demand (other than price) → Quantity demand

other factors

① Income (Y) → Purchasing power

Note

Normal goods	Inferior goods
Superior goods	low Quality
High Quality	(Relative)
Expensive	cheaper
Branded	e.g. Public Transport
e.g. Private transport	
Income ↑ D↑	Income ↑ D↓
Income ↓ D↓	Income ↓ D↑

Income represents purchasing power which can affect two types of goods, one are normal goods and other are inferior goods. Normal goods are high quality goods, i.e. superior in nature and luxurious where an increase in income causes increase in demand. While inferior goods are relatively low quality goods, where increase in income reduces demand of inferior goods e.g. public and private transport.

Positive
Relationship

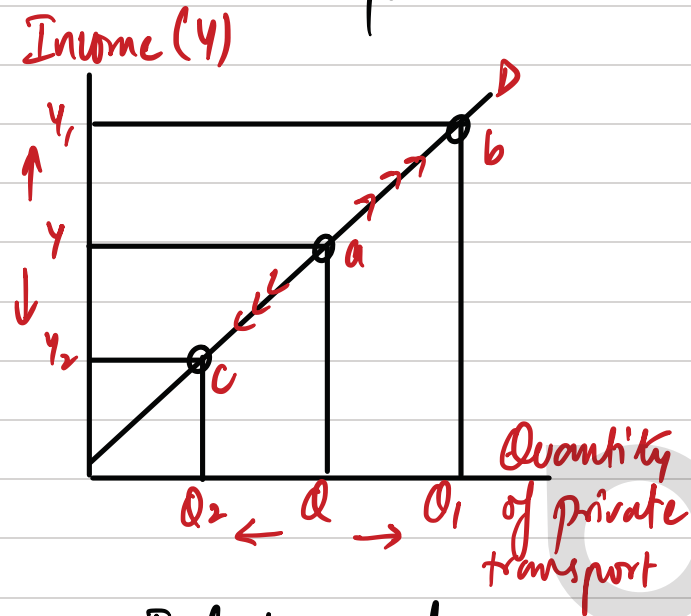
⇓
Upward
sloping

Negative
Relationship

⇓
Downward
sloping

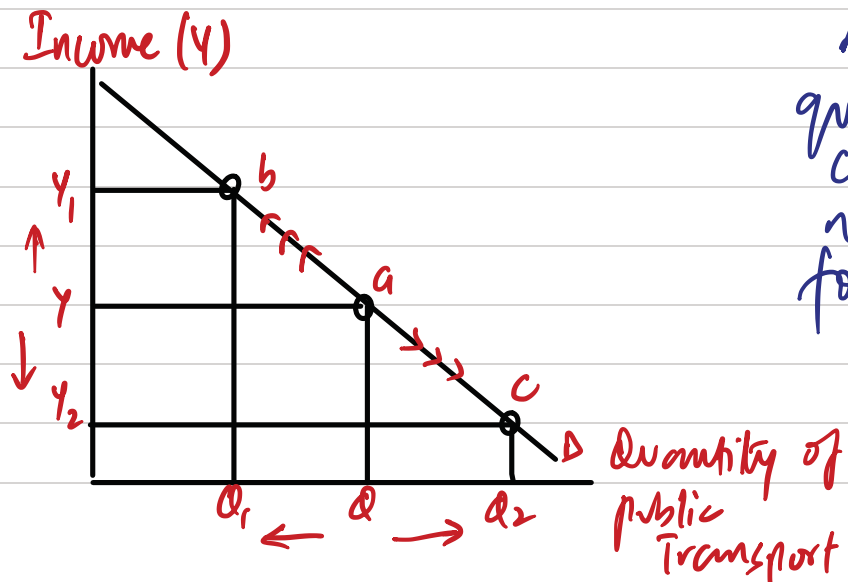
- * Income ↑ Demand ↑ (Private transport)
- * Income ↑ Demand ↓ (Public transport)

Normal goods



An increase in income from Y to Y_1 will extend the quantity demand of private transport from Q to Q_1 , showing movement from point a to b, representing positive relationship between income and demand for normal goods.

Inferior goods



An increase in income from Y to Y_1 will contract quantity demand of public transport from Q to Q_1 , causing movement from point a to b, representing negative relationship between income and demand for inferior goods.

② Direct taxes → Burden

e.g. Income tax

$$\text{Disposable income} = \text{Income} - \text{Direct tax}$$

↓ ↓
Save Spend

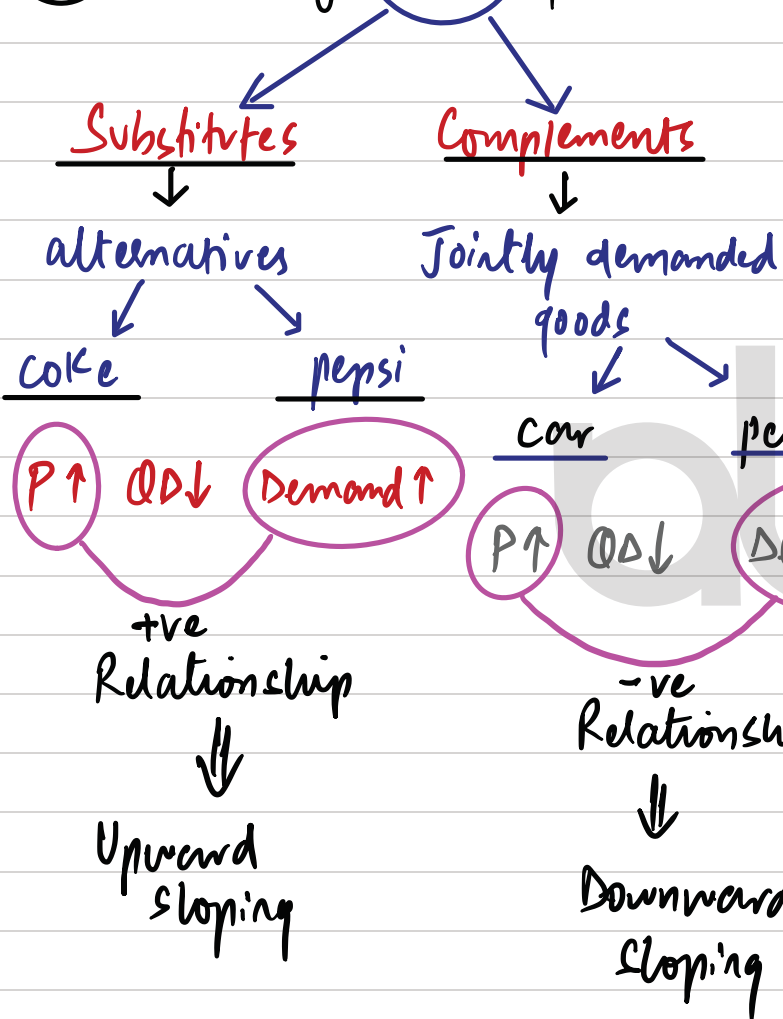
Direct tax ↑
Disposable income ↓
purchasing power ↓
Spend ↓
Demand ↓

Direct tax ↓
Disposable income ↑
purchasing power ↑
Spend ↑
Demand ↑

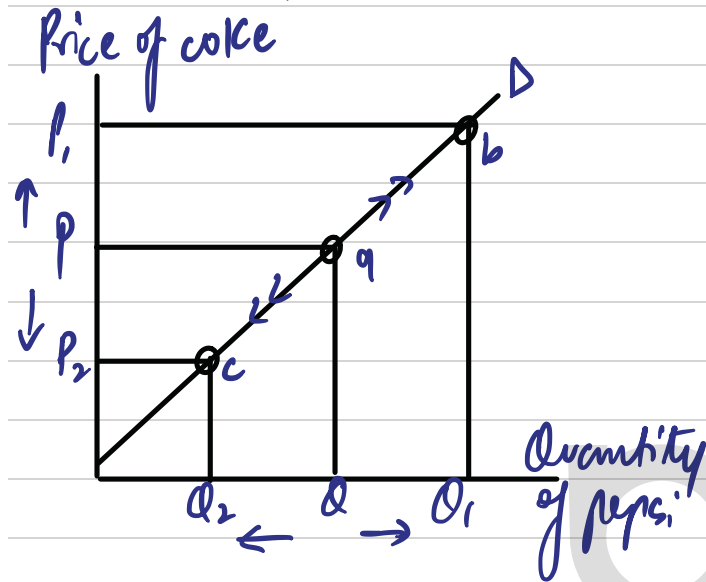
Note:- Direct tax is a tax which can't be avoided e.g. income tax. It puts a direct burden on individual's income. A rise in direct tax reduces disposable income and thus affects purchasing power causing a fall in demand for goods and services. While a reduction in direct tax increases disposable income which affects purchasing power, causing a rise in demand for goods and services.

③ Prices of related goods

Substitutes are alternatives which can be used in place of one another. An increase in price of coke causes people to switch to pepsi. While complements are jointly demanded goods where demand of one good is connected to the demand of other. An increase in price of car causes demand for petrol to fall too.

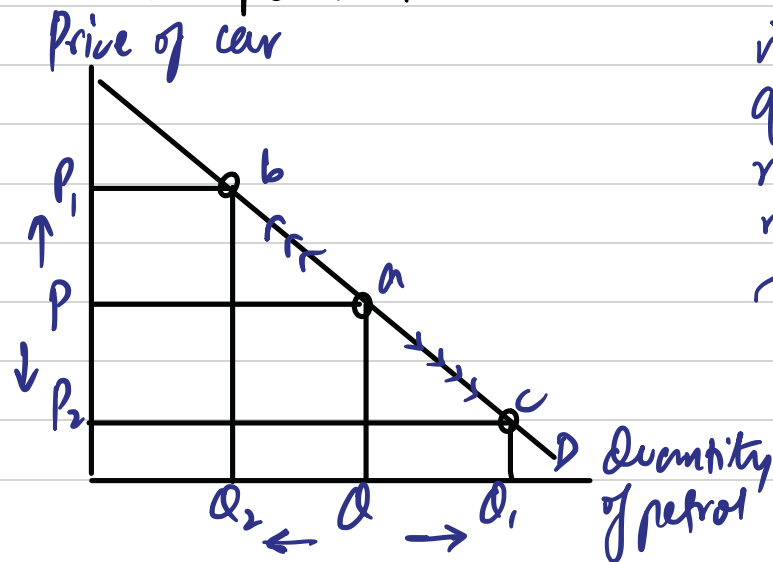


Substitutes

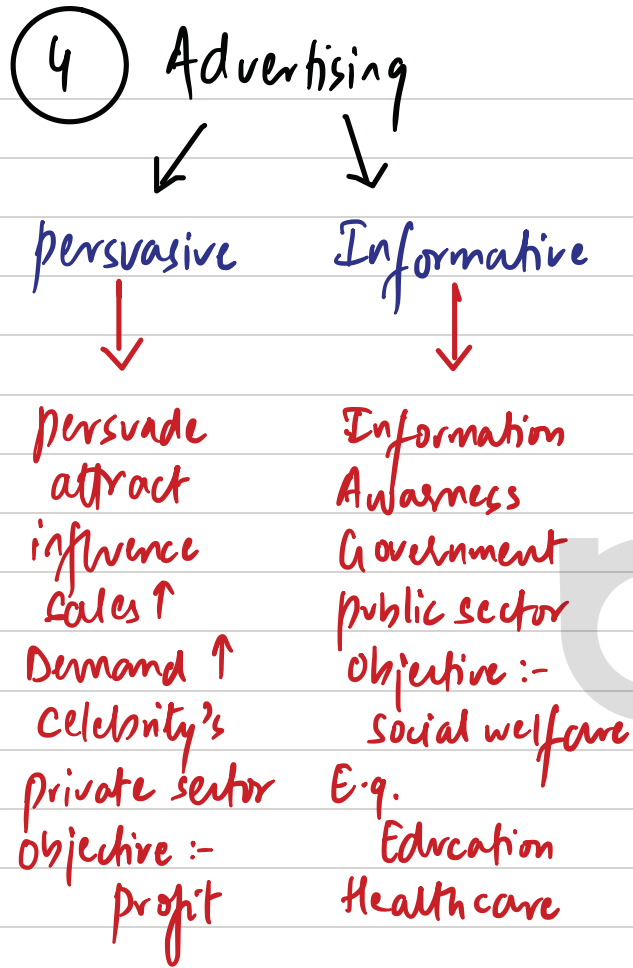


An increase in price of coke from P to P_1 , keeping pepsi price unchanged, consumers will switch to pepsi, thus extending its quantity from Q to Q_1 , causing movement from a to b , representing positive relationship between price of one good and demand for other good in case of substitutes.

Complements



An increase in price of car from P to P_1 , will influence its complementary good by contracting quantity demand of petrol from Q to Q_2 , causing movement from a to b , representing negative relationship between price of one good and demand for other good in case of complements.



Note:- Advertising can be categorized into persuasive and informative. Persuasive advertising is mostly used by private sector to influence individual's decision through different mediums, with the objective of making profit. While informative advertising is mostly used by government to create awareness with the objective of social welfare e.g. education and health care.

Advertising is a marketing communication that employs an openly sponsored, non-personal message to promote or sell a product, service or idea. Sponsors of advertising are typically businesses wishing to promote their products or services.

More factors affecting demand:-

The taste and preferences of consumers:- There are all kinds of things that can change one's taste or preferences that cause people to want to buy more or less of a product. If a celebrity endorses a new product, this may increase the demand for a product. On the other hand, if a new health study comes out saying it is bad for your health, this may decrease the demand for the product. Another example is that a person may have a higher demand for an umbrella on a rainy day than a sunny day.

Changes in population:- An increase in the size of the total population leads to an increase in demand for many goods and services causing their demand curves shift outwards. In developing countries the birth rates are very high causing the young population as a larger proportion of the total population and hence the demand for the goods and services by the young population increases.

Changes in interest rates:- Many goods and services are bought on credit using borrowed money, thus the demand for them may be sensitive to the rate of interest charged by the lender. An increase in the interest rate would encourage an individual to save more rather than spend, thus reducing consumption expenditure, hence decreasing the demand for goods and services.

Questions

Marks:- 26

Q1 Explain the effect of changes in income on demand of different types of goods? 8

Ans:- Define income, normal goods and inferior goods + E.g.

Diagrams + Explain them

Q2 Using diagrams, explain the effect of change in price of a good on demand of its related goods? 8

Ans:- Define substitutes and complements + e.g.

Diagram and explain it

Q3 Explain the effect of changes in direct tax on demand of goods and services? 4

Q4 Explain, using examples, the impact of advertising on demand of goods and services? 6